

SCENARIO 3

When the Closing
Price on Expiry is
₹3000



BUYER'S PERSPECTIVE

The payoff will be calculated in exact same manner as earlier. Payoff will be Exercise Price - Strike Price. Again, we will have to deduct the Premium payment by the buyer. So, the overall profit = ₹800 - ₹50 = ₹750

Profit of the buyer	
Current Market Price	₹3000
- Strike Price	(₹2200)
Profit before premium	₹800
- Premium	(₹50)
Profit of the buyer	₹750



SELLER'S PERSPECTIVE

Profit of the Buyer = Loss of the Seller
₹750 ₹750



OPTIONS BUYER



THE SELLER WILL PAY ₹800 TO THE
BUYER.



OPTIONS SELLER

The seller is on the exact opposite side of the buyer. So, the seller will be liable for the payoff amount of ₹800. However, they had received ₹50 as premium. So, the total losses for the Options seller is ₹750 per unit.

This example goes on to show that the option buyer has unlimited profit potential. At the same time, the seller has unlimited loss potential. We can see that the price of the asset can increase to any amount.